

immunity statute does not apply.

The demurrer to the ninth cause of action is **SUSTAINED**.

18. 9:00 AM CASE NUMBER: MSC17-01266

**CASE NAME: PETER NOWICKI VS. CONTRA COSTA COUNTY EMPLOYEES' RETIREMENT ASSOCIATION
HEARING ON PETITION IN RE: WRIT OF MANDATE**

FILED BY:

TENTATIVE RULING:

Before the Court issues a writ of mandate on Petitioner's Fourth Amended Petition, the Petitioner asks that the Court resolve several issues: (1) the proper prejudgment interest rate; (2) whether the Contra Costa County Employees' Retirement Association ("CCCERA") should be held responsible for the Moraga-Orinda Fire District's interest rate payment; and (3) reconsideration of the Court's order denying leave to amend the petition entered on August 13, 2024.

As a threshold issue, the Court notes that Petitioner's request that "the Court reconsider its order denying Mr. Nowicki's motion for leave to amend for the sole purpose of permitting Mr. Nowicki to recover the interest from the Fire District" is both untimely and unsupported by new facts or law. Motions for reconsideration must be brought "within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order." (Code Civ. Proc. § 1008(a).)

For the following reasons, the Court concludes that the Civil Code section 3287's prejudgment interest rate of 7% applies and CCCERA cannot be compelled to pay interest on Petitioner's Replacement Benefit Plan payments from the Fire District.

General Factual and Procedural Background

Petitioner Peter J. Nowicki joined the Moraga-Orinda Fire District in 1983 as a firefighter. He advanced through the ranks and in July 2006 was promoted to the position of Fire Chief. Mr. Nowicki's fire chief employment contract included an annual salary of \$173,000 and other benefits, including accrual of vacation time at the rate of 20 hours per month, with a maximum accrual of 400 hours. In compliance with the terms of his employment agreement, Nowicki made contributions to CCCERA.

In May 2007, Mr. Nowicki submitted documentation to the Fire District Board regarding his annual performance evaluation to support a salary increase. His contract was amended on February 6, 2008, but made retroactive to July 2007, which increased his annual salary to \$186,000. It also included a vacation sell-back provision to off-set the loss of accrued vacation in excess of the 400 hour annual cap. Mr. Nowicki exercised the sell-back option several times. Nowicki's salary was retroactively adjusted two more times.

On January 30, 2009, Mr. Nowicki retired from the Fire District at the age of 50 with a pension benefit

calculated by multiplying his highest compensation over any consecutive 12 months of employment by the product of 3% and his accrued years of 28.3 service. This resulted in a gross monthly pension benefit of \$20,076.00 before deduction of taxes and other withholdings.

More than 6.5 years after his retirement, on August 5, 2015, Mr. Nowicki received a letter from CCCERA informing him that the CCCERA Board had scheduled a hearing on September 9, 2015 to review his acts of “pension spiking.” Mr. Nowicki attended the Board meeting on September 5, 2015.

On September 11, 2015, Mr. Nowicki received a letter from CCCERA informing him that his pension would be reduced to \$14,667.74 per month, retroactive to the date of his retirement, on the grounds that Nowicki had caused his “final average salary (compensation earnable) to be improperly increased at the time of retirement.” The Board reduced the retirement allowance from over \$240,000 per year to about \$175,000 per year. On September 21, 2015, Nowicki received a letter from CCCERA alleging that he had received overpayments in the amount of \$585,802, including interest.

On October 13, 2015, Mr. Nowicki filed, *in propria persona*, a writ petition pursuant to Code of Civil Procedure section § 1094.5 in this Court seeking to overturn the Board’s decision. CCCERA filed a response. Almost a year and a half later, Mr. Nowicki filed a dismissal of that matter, without prejudice, when he filed a Verified Complaint for Injunctive Relief, Damages and Jury Demand before the United States District Court, Northern District of California on February 7, 2017.

On June 27, 2017, the federal court granted CCCERA’s motion to dismiss Mr. Nowicki’s three federal claims with prejudice, declined to take supplemental jurisdiction over Mr. Nowicki’s state law claims, and entered judgment for CCCERA based on lack of subject matter jurisdiction. The Federal Court entered judgment on July 17, 2017. (See *Nowicki v. Contra Costa City Employees’ Ret. Ass’n* (June 27, 2017) 2017 U.S. Dist. LEXIS 99485.)

On July 10, 2017, Mr. Nowicki filed a new Petition and Complaint with this Court, which restated his original petition for writ of administrative mandamus. The July 10, 2017 petition included a cause of action against CCCERA for administrative mandate pursuant to Code of Civil Procedure section 1094.5 as well as causes of action alleging due process and equal protection violations under the California Constitution, breach of contract, breach of the duty of good faith and fair dealing, promissory estoppel, and declaratory relief. Mr. Nowicki filed an amended complaint on the same day as the original complaint because the original filing omitted the verification.

On November 3, 2017, this Court overruled CCCERA’S demurrer as to Mr. Nowicki’s administrative mandate cause of action in the first amended complaint, sustained the demurrer with leave to amend as to the fourth cause of action for denial of equal protection under the California Constitution, and sustained the demurrer without leave to amend as to the remaining causes of action, including the due process claim under the California Constitution.

On November 15, 2017, Mr. Nowicki filed a second amended petition for writ of administrative mandate and complaint, which included causes of action for administrative mandate pursuant to Code of Civil Procedure section 1094.5 and for denial of equal protection under the California Constitution.

On February 13, 2018, this Court sustained CCCERA’S demurrer to the second amended complaint without leave to amend as to the equal protection cause of action and with leave to amend the administrative mandate claim to “seek review pursuant to ordinary mandamus” under Code of Civil Procedure section 1085. The trial court also sustained without leave to amend the Fire District’s demurrer to the second amended complaint. In an August 27, 2019 opinion, the Court of Appeal affirmed this order. (*Nowicki v. Moraga-Orinda Fire District* (Aug. 18, 2019, A153833) [nonpub. opn.])

After Mr. Nowicki filed a third amended petition for writ of administrative mandate, the remaining parties met and conferred regarding objections to the petition raised by CCCERA, and submitted a stipulation to the court on March 12, 2018, under which CCCERA would not object to the filing of a fourth amended complaint for writ of ordinary mandate pursuant to Code of Civil Procedure section 1085.

On March 20, 2018, Mr. Nowicki filed his fourth amended writ petition against CCCERA, which included a single cause of action for writ of mandate under Code of Civil Procedure section 1085, alleging that the Board had abused its discretion when it found that he had violated Government Code section 31539.

In a February 19, 2020 order, following briefing and argument, this Court denied Nowicki’s petition, finding that he had not met his burden of establishing that the Board’s decision to decrease his monthly allowance was an abuse of discretion or that the administrative proceedings before the Board had violated his due process rights.

The court entered judgment in favor of CCCERA on April 15, 2020. On June 11, 2020, Nowicki filed a notice of appeal. On August 10, 2021 the Court of Appeal, in a published decision, concluded that the CCCERA Board’s determination that Nowicki caused his pension to be improperly increased at the time of retirement was an abuse of discretion. The Court of Appeal reversed judgment for CCCERA in a published decision dated August 10, 2021. (*Nowicki v. Contra Costa County Employees’ Retirement Assn.* (2021) 67 Cal.App.5th 736.)

Subsequently on June 6, 2022, CCCERA issued a check for \$265,835.24 to JP Morgan Securities and a check for \$217,501.56 to Pershing LLC. (Dunn Decl. at ¶ 12, Ex. D.) These payments were “for [CCCERA’s] portion of past underpayments owed to [Mr. Nowicki] from its trust fund, which included interest at the 7% prejudgment interest rate.” (*Id.* at ¶ 12.) On May 29, 2023, CCCERA paid further interest on Petitioner’s June 6, 2022 payment due to a delay in the posting of the deposited check. (Dunn Decl. at ¶ 13.)

Because of the operation of the IRS 415 Limit, Petitioner also receives retirement benefits from the Fire District. The total principal amount attributable to the Replacement Benefit Plan for restored benefits was \$805,810.75 for two time periods, 2009 to 2015 and 2015 to 2022. (See Compendium of Evidence, Ex. 22.) CCCERA made a repayment for the first time period, with 7% interest, because it had possession of the funds at the time of payment. (Dunn Decl. at ¶¶ 16, 20-21.) That payment left \$514,790.61 payable from the Replacement Benefit Plan for period of 2015 to 2022. The Fire District paid Petitioner the principal amount, but not the associated interest. (Dunn Decl. at ¶ 19, Ex. F.) Petitioner filed a Government Claim pursuant to Government Code section 910 *et seq.* against the

Fire District for damages related to the unpaid interest. (Chin Decl. at ¶ 10, Ex. F.)

The Court understands that Petitioner has not pursued a separate lawsuit against the Fire District for the interest; instead, he asks that this Court order CCCERA pay that amount as part of the instant writ proceedings.

Legal Standard

Code of Civil Procedure § 1085(a) provides: “A writ of mandate may be issued by any court to any ... board ... to compel the performance of an act which the law specially enjoins, as a duty resulting from an office, trust, or station[.]” Mandamus under section 1085 is used to compel a ministerial duty or to correct an abuse of discretion. (*American Board of Cosmetic Surgery v. Medical Board of California* (2008) 162 Cal.App.4th 534, 547.) Additionally, a writ of mandamus will not issue unless the respondent has the present ability or legal authority to perform the alleged duty. (*Romo v. Department of Motor Vehicles* (1991) 229 Cal.App.3d 251, 254.)

The grant of a writ may include a return as a technique for ensuring compliance and closure. The purpose of a return is to ensure that respondent took the actions required by the writ. (*L.A. International Charter High Sch. v. L.A. Unified Sch. Dist.* (2012) 209 Cal.App.4th 1348, 1355.)

A writ will not lie if the named respondent has no duty to perform the act. (See, e.g., *Connolly v. County of Orange* (1992) 1 Cal.4th 1105, 1113 [a county may not be compelled to grant a property tax exemption in the first instance as that duty (when it exists) belongs to the county assessor]; see also *Wenzler v. Municipal Court for Pasadena Judicial Dist.* (1965) 235 Cal.App.2d 128, 132 [“Where it appears that the officer named as respondent is not the one whose duty is involved, relief is denied.”].)

Analysis

Mr. Nowicki asks that the Court determine the appropriate prejudgment interest rate is 10% and that, in its discretion, it determine that CCCERA is responsible for compensating him for all underpayments to him, including those made by the Fire District. In opposition, CCCERA maintains that 7% is the appropriate interest rate as they argue there is no contractual relationship between Mr. Nowicki and CCCERA and Mr. Nowicki did not assert a breach of contract claim. Additionally, CCCERA argues that would be legally impermissible to compel it to pay Mr. Nowicki money owed to him by the Fire District.

“[T]he California Constitution provides for prejudgment interest at 7 percent per annum. (Cal. Const., art. XV, § 1.) However, Civil Code section 3289 provides that the legal rate of interest chargeable after breach of a contract which does not stipulate an interest rate is 10 percent per annum.” (*Pro Value Properties, Inc. v. Quality Loan Service Corp.* (2009) 170 Cal.App.4th 579, 582-583; *accord, Children’s Hospital & Medical Center v. Bontá* (2002) 97 Cal.App.4th 740, 774-775.) Specifically, Civil Code section 3289 provides “(a) Any legal rate of interest stipulated by a contract remains chargeable after a breach thereof, as before, until the contract is superseded by a verdict or other new obligation. [¶] (b) If a contract entered into after January 1, 1986, does not stipulate a legal rate of interest, the obligation shall bear interest at a rate of 10 percent per annum *after a breach*. [¶] For the purposes of

this subdivision, the term contract shall not include a note secured by a deed of trust on real property.” (Italics added.) The plain language of the statute makes no mention of awarding 10 percent interest whenever a remedy resembles contract damages. Instead, it is clear that the 10 percent interest rate applies only after a *breach* of contract. This is not a breach of contract case.

Mr. Nowicki’s fourth amended petition for writ of mandamus pleads a single cause of action under Code of Civil Procedure section 1085 for abuse of discretion. Specifically, Mr. Nowicki alleges that “[t]he CCCERA Board reduced Nowicki’s pension benefits purportedly pursuant to its authority under Government Code section 31539” and that “the Board abused its discretion by finding that Nowicki had violated section 31539.” (4th Amended Petition at ¶ 18.) While the “prejudicial abuse of discretion” Nowicki alleges in his Fourth Amended Complaint is calculated in terms of monetary loss (see *id.* at ¶ 14), it is not characterized as a breach of contract.

Nevertheless, Petitioner argues that “this is a contract case to which the 10% interest rate applies.” (Opening Brief at 14:1.) He argues that “the pension provisions become a part of the contemplated compensation for those services and so in a sense a part of the contract of employment itself.” (*id.* at 14:5-7 [quoting *Alameda Cnty. Deputy Sherriff’s Ass’n v. Alameda Cnty. Employees’ Ret. Ass’n* (2020) 9 Cal.5th 1032, 1053].)

Petitioner provides this quote out of context. In *Alameda*, the plaintiffs (labor unions and other labor groups) challenged the amendments to CERL (i.e., the PEPRAs exclusions under § 31461, subd. (b)) on the ground that the plaintiffs possessed (1) contractual or equitable rights to receive pension benefits and (2) a constitutional right to receive pension benefits according to the law as it existed prior to PEPRAs. (*Alameda*, *supra*, 9 Cal.5th at pp. 1052-53.) The court upheld the PEPRAs exclusions, concluding they did not violate contractual, equitable, or constitutional rights. (*id.* at p. 1054.) *Alameda* does not support a conclusion that Nowicki’s pension benefits are contractual rather than statutorily proscribed. Rather, *Alameda* states that “it is the Legislature that has final authority to establish the provisions governing the award of pension benefits under CERL.” (*id.* at p. 1067; see also *id.* at pp. 1066-67 [“The task of a county retirement board is not to design the county’s pension plan but to implement the design enacted by the Legislature through CERL.”].)

Additional authority cited by Petitioner does not compel a different result. In fact, *Teachers’ Ret. Board v. Genest* supports a conclusion that Petitioner’s writ must be based on a breach of contract claim for the higher interest rate to apply. (*Teachers’ Ret. Board v. Genest* (2007) 154 Cal.App.4th 1044.) In *Genest*, the Teachers’ Retirement Board filed a petition for writ of mandate and complaint for injunctive and declaratory relief against the state, asserting that the state had violated its contractual obligation to make contributions to a pension benefits fund. The superior court entered judgment in the plaintiff’s favor and awarded prejudgment and postjudgment interest at the rate of 7 percent per annum. (154 Cal.App.4th at pp. 1024-1026.) On review, the Third District agreed that the state had breached an express contractual obligation. (*id.* at pp. 1030-32, 1036, 1045.) The court also decided that the plaintiff was entitled to prejudgment interest at the rate of 10 percent per annum because “Civil Code section 3289 specifies that the applicable interest rate for prejudgment interest *in breach of contract cases* is 10 percent. This rate, set by the Legislature, from which public entities are not excepted, replaces the default rate in the California Constitution for instances in which the Legislature has not acted to set another rate. Having made state and public entities liable for

prejudgment interest *on all contract claims*, whether liquidated or unliquidated, the interest rate set forth for such claims in Civil Code section 3289 necessarily applies to these entities absent an express legislative exemption.” (*Genest*, at p. 1045, italics added.)

Petitioner’s reliance on *Brown v. California Unemployment Insurance Appeals Board* is also misplaced. (*Brown v. California Unemployment Insurance Appeals Board* (2018) 20 Cal.App.5th 1107.) The *Brown* court considered the correct rate of interest to be applied after a determination that unemployment benefits were wrongfully withheld by the Employment Development Department and the California Unemployment Insurance Appeals Board. *Brown* argued that interest should be charged at the contract rate of 10 percent from the date that each benefit payment was due, in accordance with Civil Code section 3289, subdivision (b). In contrast, EDD asserted that the trial court correctly determined that any such interest should be calculated at the rate of 7 percent, as authorized by article XV, section 1, of the California Constitution and Government Code section 965.5, subdivisions (a) and (d). The Court of Appeal concluded that the trial court applied the incorrect interest rate to the wrongfully withheld benefits at issue and reversed for recalculation of interest.

Brown was decided in the unemployment insurance context. Specifically, the Court of Appeal considered the issue of whether section 3289, subdivision (b)—which sets a prejudgment interest rate of 10 percent for contracts which fail to “stipulate a legal rate of interest”—is applicable in the unemployment insurance context and supplies a statutory exception to the default rate of 7 percent. The *Brown* court concluded that “a former employee’s right to unemployment benefits is sufficiently tied to his or her employment contract to justify imposition of prejudgment interest at the contractual rate of 10 percent.” (*Brown, supra*, 20 Cal.App.5th at p. 1116.) In reaching this conclusion, the Court of Appeal reasoned that “an employee earns the right to participate in the unemployment insurance system through his or her labor, receiving in return what is essentially a deferred employee benefit. Under such circumstances, it can be argued that, when an employee performs services for his or her employer, the unemployment insurance provisions ‘become a part of the contemplated compensation for those services and so in a sense a part of the contract of employment itself.’” (*Id.* at p. 1117 [quoting *Kern v. City of Long Beach* (1947) 29 Cal.2d 848, 852].) The *Brown* court’s conclusion was narrow: that, under the circumstances of that case, “EDD’s statutory obligations under the Act are in the nature of a contractually enforceable promise which should be subject to the statutory contractual rate of prejudgment interest when breached.” (*Id.* at p. 1119.)

Bell v. Farmers Ins. Exchange is similarly distinguishable. (*Bell v. Farmers Ins. Exchange* (2006) 135 Cal.App.4th 1138.) The *Bell* court held that prejudgment interest at the rate of 10 percent accrues on unpaid overtime compensation recovered under Labor Code section 1194. In *Bell*, the plaintiff employees filed a class action alleging their employer had refused to pay overtime compensation for hours worked. (*Id.* at pp. 1141, 1150.) The question was whether Labor Code section 218.6, which as of January 1, 2001, incorporated the interest rate provided by Civil Code section 3289 for breach of contract actions, applied only prospectively or whether it simply clarified existing law. (*Bell*, at p. 1142.)

After concluding that the defendant had waived its objection to the 10 percent interest rate by expressly agreeing to it, the *Bell* court went on to address the plaintiffs’ contention that, “[b]efore [Labor Code] section 218.6 expressly required the use of the breach-of-contract rate for prejudgment

interest, this rate was still the appropriate rate for unpaid wage claims because of the contractual nature of the employment relationship.” (*Bell, supra*, 135 Cal.App.4th at pp. 1142, 1145-1146.) *Bell* is distinguishable from the instant case in that the statutory scheme at issue expressly required the imposition of the interest rate under § 3289.

That said, Respondent’s reliance on *Flethez v. San Bernardino County Employees’ Retirement Association* is not dispositive. (*Flethez v. San Bernardino County Employees’ Retirement Association* (2017) 2 Cal.5th 630.) *Flethez* was decided in the disability retirement context. The trial court determined that a county retirement board wrongfully denied the employee the correct starting date for his disability retirement allowance. Ultimately the California Supreme Court held that the employee’s retirement benefits under the County Employees Retirement Law of 1937 (Gov. Code § 31450 *et seq.*) were not due before the board received his application and made a determination of his eligibility. As a consequence, his entitlement to prejudgment interest under Civil Code § 3287 commenced on the date of wrongful denial. However, the *Flethez* court did not consider the issue of whether the higher prejudgment interest rate for contracts might apply. Opinions are not authority for propositions not considered. (*People v. Avila* (2006) 38 Cal.4th 491, 566.) Consequently, it is not decisive of the issue now before the Court.

With the above authority in mind, the Court concludes that 7% under Civil Code section 3287 is the proper prejudgment interest rate on the proposed writ. Mr. Nowicki’s petition, for abuse of discretion under Code of Civil Procedure section 1085, is not a breach of contract claim that would entitle him to application of the higher rate of prejudgment interest under Civil Code section 3289.

Finally, the Court considers Petitioner’s request that the Court hold CCCERA responsible for the interest payment on the principal amount of \$514,790.61 paid by the Fire District. Petitioner argues (without authority) that “the Court may, in its role as finder of fact under CCP section 1095, determine that CCCERA is responsible for compensating Mr. Nowicki for all underpayments caused by its erroneous decision because CCCERA acted intentionally.” (Opening Brief at 15:23-25.) In opposition, CCCERA argues that Code of Civil Procedure section 1085 limits the scope of the writ to extend only as far as CCCERA, the named Respondent. (Opp. at 12:23-24.)

As a threshold issue, as the Court noted in its prior order denying Petitioner leave to amend, the Court of Appeal’s reversal of this Court’s judgment denying Nowicki’s petition for writ of mandate was not intended as a remand for a new trial on the merits. (See, e.g., *Moore v. City of Orange* (1984) 153 Cal.App.3d 998 [an unqualified reversal not intended as a remand for a new trial on the merits].) Consequently, the Court lacks jurisdiction to make any new factual findings.

Additionally, it is well established that a writ will not lie if the named respondent has no duty to perform the act. (See *Connolly, supra*, 1 Cal.4th at p. 1113; see also *Wenzler, supra*, 235 Cal.App.2d at p. 132.) Here, the instant writ is limited to CCCERA; the Fire District is no longer part of this proceeding. Petitioner is not without remedy—he can pursue a legal remedy against the Fire District. He cannot, however, compel CCCERA to pay interest on the amount the Fire District remitted to him. (See Code Civ. Proc. § 1086; see *Wenzler, supra*, 235 Cal.App.2d at pp. 133–34 [mandamus relief not available to compel county to refund fine paid for violation of unconstitutional ordinance because the plaintiff made no showing that civil action for refund was inadequate].)

Evidentiary Objections

The Court rules on Respondent's Objections to the Declaration of Peter J. Nowicki as follows:

Objection No. 1. Sustained.

Objection No. 2. Sustained.

Objection No. 3. Sustained.

Objection No. 4. Sustained.

Objection No. 5. Sustained.

Objection No. 6. Sustained.

Objection No. 7. Sustained.

Objection No. 8. Sustained.

Objection No. 9. Sustained.

Objection No. 10. Sustained.

19. 9:00 AM CASE NUMBER: N24-1516

CASE NAME: DANIEL FISHER VS. DENNIS CALANO

***HEARING ON MOTION IN RE: ORDER TO SHOW CAUSE RE: CONTEMPT AGAINST RESPONDENT
DENNIS CALANO**

FILED BY: FISHER, DANIEL

TENTATIVE RULING:

Parties to Appear.

Courtroom Clerk's session

20. 10:00 AM CASE NUMBER: C22-01835

CASE NAME: MICHAELA STRAZNICKA VS. REYNA HIGUERA

JURY TRIAL 15 DAYS

FILED BY:

TENTATIVE RULING:

Parties to Appear.